US investment restrictions will steer Chinese biotech deals toward licensing

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On 22 October, the US Treasury proposed adding biotechnology to a list of prohibited sectors for US outbound investment into China under the COINS Act

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US-China
US biotech investment ban will push firms toward licensing over equity deals. On 22 October, the US Treasury issued a Notice of Proposed Rulemaking (NPRM) adding biotechnology to a list of prohibited sectors for US outbound investment into China under the COINS Act. The comment period closes on 7 December.

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The move will push firms to conduct more asset-based licensing deals. Those deals, in which US firms pay Chinese counterparts for the right to develop and sell the drug in overseas markets, are not covered by the NPRM. Meanwhile, joint ventures or equity ownership arrangements such as the recently popular “NewCo” model will be discouraged (see: US and China restrictions will deepen biomedical license reliance amid innovation decoupling , 28 October 2026).
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Industry pushback will likely dilute the draft rule; industry associations are currently collecting US member companies’ comments. China-based biotech firms also expect patient-access concerns to strengthen their case over time. While unable to advocate their case directly in Washington, these firms remain optimistic that framing cross-border biotech innovation as a global public health benefit will ultimately help. If a novel Chinese drug wins approval but remains inaccessible to US patients, they argue, the political calculus could shift against restrictions that impede access.

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China will wait for the final rule before retaliating. The commerce ministry described the proposal as discriminatory, an overextension of national security, and a disruption to normal economic cooperation. Similar language has previously preceded targeted retaliatory measures. For now, however, Beijing is likely to hold back while industry has an opportunity to lobby to narrow the rule's scope.

Economic Policy

China's AI jobs guidelines will barely slow adoption. On 23 October, the State Council released guidelines directing officials to assess the employment risks of AI projects that need government approval and to pace AI's rollout in labor-intensive industries.

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Mitigating employment risks remains secondary to Beijing's political priority of securing global AI leadership. The guidelines are administrative instructions and not law; they impose no new obligations on firms and set no threshold for acceptable job losses. Their main effect will be to give local officials, whose careers depend on stable employment in their jurisdictions, cover to delay approvals or withhold local support where layoffs are concentrated.

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Graduates and workers in repetitive factory jobs face the biggest risk. Firms will probably automate junior tasks by hiring fewer entry-level workers, leaving no layoffs to scrutinize. US firms are making similar but less visible adjustments (see: The AI jobs backlash is arriving before broad job losses , 8 September 2026). But with youth unemployment high and domestic demand weak, China has less room to absorb weaker entry-level hiring.

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Beijing will probably respond mainly through hiring subsidies and training. With the State Council still pushing AI adoption, officials are more likely to renew and expand youth hiring grants, which expire at year-end, than to block projects. Robotaxis are the clearest test because they need local operating permits and directly threaten the jobs of millions of ride-hailing drivers. Making permits conditional on employment protections would signal a more interventionist turn.

Politics

China's shrinking space for speech will continue to cost foreign brands market access. On 27 October, three Chinese sponsors dropped French soccer player Kylian Mbappe, and state broadcaster CCTV suspended La Liga matches over a viral clip in which he appeared to call Mao Zedong a "dictator". The episode fits a decade of Chinese boycotts whose damage stays confined to China but grows harder to avoid as room for public debate narrows. Foreign firms should expect more such incidents and treat prevention, not apology, as their main defense.

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Beijing will not rescue foreign firms once online anger takes hold. Social media led the charge, and state outlets followed, wary of seeming less patriotic than the public. The foreign ministry moved the other way, softening an initially stern warning by saying, on 28 October, that it took the apology "seriously". Such uncoordinated responses make government neutrality the best scenario.

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Speech-driven boycotts usually fade while state-directed ones endure. Versace and Coach recovered quickly from their 2019 T-shirt controversies, and Nike rebounded after the 2021 Xinjiang cotton backlash. Retaliation over geopolitically related offenses can last years, as in the 2017 campaign that

drove Korea’s Lotte Mart out of China and the bans on Japanese seafood.

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The list of triggers will continue to lengthen. Mocking Mao cost a famous CCTV host his job in 2015, and laws since 2018 have penalized defaming "heroes and martyrs" of the Chinese revolution. Companies should brief athlete sponsors, ambassadors, and partners on political sensitivities, as La Liga now plans to do with a communication protocol for its players and clubs.

Foreign Policy

Kim’s surprise visit will strengthen China-North Korea alignment. North Korean leader Kim Jong-un made an unannounced trip to Dandong on 24 October, crossing over the newly opened New Yalu River Bridge. The bridge connecting the two countries was opened earlier this month after more than a decade of construction delays on the North Korean side. Kim met with Wang Huning, China’s fourth-ranked official overseeing North Korea policy, and the two toured a memorial to China’s participation in the Korean War and a bus factory.

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China-North Korea ties will continue to deepen. Kim’s unannounced visit comes amid an uptick in bilateral diplomacy: he also attended Beijing’s military parade in September 2025, and Xi made a rare return trip to North Korea in June. Closer coordination between Beijing and Pyongyang since last year has coincided with Washington’s renewed push for direct talks with Kim.

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Pyongyang is likely using closer China ties to signal leverage over Washington—and possibly Moscow. Despite deepening strategic ties with Russia, Kim benefits from reminding Moscow that he has options. He is also likely using his visit to reject US President Donald Trump’s proposal for renewed diplomacy. China meanwhile benefits from acting as an intermediary between Washington and Pyongyang (see: Beijing will draw Pyongyang closer and abandon denuclearization push, 11 June 2026).

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The New Yalu River Bridge will help increase trade between China and North Korea. Bilateral trade volumes remain small, but China’s imports from North Korea rose 44% year-on-year from January to September 2025.

Taiwan

Pakistan’s temporary ban on Taiwanese airlines highlights intensifying Chinese diplomatic coercion. Pakistan banned Taiwanese airlines from using its airspace on 25 28 October, citing its adherence to the One China policy and permitting Chinese—but not Taiwanese—carriers to fly over the country. Taiwanese flights were forced to re-route through Russian airspace for the first time since Russia invaded Ukraine. The Pakistan Civil Aviation Authority then abruptly lifted the ban on 28 October, granting Taiwanese airlines access for an additional five months. Chinese state media praised the ban as a sign of “shrinking international space for ‘Taiwan independence’ forces."

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The ban sets a precedent for invoking One China to restrict Taiwanese aviation. Pakistan likely acted either at Beijing’s urging or to curry favor with one of its closest diplomatic partners.

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Beijing appears increasingly willing to weaponize airspace access against Taiwan. In April, China likely also pressured Senegal, Mauritius, and Madagascar to close their airspace to Taiwan’s President William Lai’s charter plane to thwart his state visit to eSwatini. Pakistan’s restrictions extended this apparent pressure beyond official travel to commercial aviation.

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Pakistan’s abrupt reversal remains unexplained. Taiwan may have privately threatened to impose chip export controls on Pakistan, as it did on South Africa for two days in September 2025 to prevent the closure of the Taipei Liaison Office in Pretoria.

Standing Calls

Notes underpinning calls:

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Next leadership cycle will harden centralization around Xi , 22 October 2026

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Hybrids deal won’t stop gradual EU trade policy tightening , 14 October 2026

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Summit lowers odds of year-end bilateral breakdown , 25 September 2026

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Beijing’s growing confidence will heighten Taiwan risks after 2028 , 15 September 2026

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Beijing will maintain calibrated pressure campaign against Tokyo , 20 July 2026

Upcoming Events

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30–31 October: G20 Foreign Ministers meeting in Atlanta

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15 November: Comment period ends for China's newly announced AI export controls

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16–18 November: ASEAN summit in Manila

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18–19 November: APEC summit in Shenzhen

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28 November: Taiwan local elections

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14–15 December: G20 leaders’ summit in Miami

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10 January: US-China truce extension expires

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